

THE SESSION • POST-CLOSE READ

The Print *Pushes Back*

August payrolls arrived at 162,000 against a consensus near 55,000, moving September hike odds back above even. The major indexes returned a fraction of Thursday's advance — and both FCI sleeves finished ahead of every benchmark they track.

S&P 500 ▼ 0.39%

NASDAQ ▼ 0.29%

DOW ▼ 0.51%

VIX 14.53

BRENT ▲ \$96

DIVIDEND STRATEGY

▲ BEAT DVY + SPY

-0.30%

1-DAY



YTD +22.27% vs DVY +18.19% · SPY +13.54%

GROWTH PORTFOLIO

▲ BEAT IUSG + SPY

+0.33%

1-DAY



YTD +24.19% vs IUSG +14.54%

THE SESSION

The August employment report answered Thursday's question with 162,000 jobs — roughly triple the consensus — and the September rate conversation turned on its heel. Unemployment held at 4.1%, average hourly earnings rose 3.1% over the year, and June and July were revised up by a combined 55,000. Futures markets moved the odds of a September hike back toward roughly 60% from about even money before the release, and two-year yields rose about four basis points. Equities absorbed the repricing with composure: the S&P 500 eased 0.39%, the Dow 0.51% and the Nasdaq 0.29% — a modest give-back of Thursday's Waller-driven advance — while the VIX held near 14.5. Breadth was softer than the headline losses suggest, with financials, health care and the defensive staples doing most of the lagging.

The AI complex ran directly against the rate headwind. Nvidia's agreement to acquire Hugging Face for \$12.9 billion — confirmed Thursday, with a stated commitment to keep the platform open — put a fresh bid under the silicon and infrastructure names that had lagged in recent sessions. Marvell added 7.05%, Lam Research 5.12%, AMD 4.69%, Credo 3.90% and Taiwan Semiconductor 2.85%, and the power-and-compute complex followed: Hut 8 rose 6.19%, Constellation 4.88% and Vistra 3.52%. That composition is the sleeve story in miniature — the Growth Portfolio finished positive on a red tape, and the Dividend Strategy's equipment and analog holdings cushioned a session in which its financial and health-care names lagged.

A strong economy is a scheduling problem for rate policy. It has never been a problem for the patient owner of productive businesses.

Digital assets eased with the front-end repricing — IBIT slipped 2.42% and ETHA 2.63% — and oil closed a volatile week with Brent near \$96. Cash markets are closed Monday for Labor Day, and next week's CPI and PPI releases will decide whether the September 15–16 meeting delivers a hike or a hold. The standing is what matters: the Dividend

Strategy sits at +22.27% for the year, +4.08 points ahead of DVY, and the Growth Portfolio at +24.19%, +9.65 points ahead of IUSG. On days when the argument is about the calendar, the sleeves keep compounding through it.

FCI HOLDINGS • NOTABLE MOVERS

WINNERS

MRVL +7.05%

GROWTH

Led the AI-silicon rebound as Nvidia's \$12.9 billion agreement to acquire Hugging Face widened the market's read on the custom data-center buildout.

HUT +6.19%

GROWTH

Advanced with the AI-compute complex even as spot crypto eased — the power-and-compute pivot, not the mining legacy, is setting the price.

DECLINERS

NOW -2.97%

GROWTH

Cooled after a strong one-month run as rising hike odds pressed on richly valued software; the operating story is unchanged.

ORI -2.68%

DIVIDEND

Eased with the insurance group as the rate repricing worked through financials; no company-specific news.

LRCX +5.12%

DIVIDEND

Wafer-fab equipment caught the renewed silicon bid; last week's 27% dividend increase keeps the cash-return case compounding beneath the trade.

CEG +4.88%

DIVIDEND

The nuclear fleet remains the cleanest expression of AI power demand; the day's open-model headlines refreshed the data-center offtake narrative.

AMD +4.69%

GROWTH

Rebounded with the accelerator names as an open-model ecosystem argues for broader, not narrower, compute demand.

HOOD -2.09%

GROWTH

Returned a fraction of Thursday's double-digit advance alongside the softer digital-asset tape — a pause, not a verdict.

ADP -2.08%

DIVIDEND

Slipped as its midweek private-payrolls read — the slowest of the year — was answered by an official count near triple the consensus.

HOLDINGS NEWS

Nvidia to acquire Hugging Face for \$12.9 billion. Confirmed Thursday, the deal brings the leading open-model platform — more than 18 million developers, roughly three million hosted models and some 200,000 enterprise customers — inside the Growth Portfolio's largest holding. Management framed the purchase as a commitment to keep the platform open; the strategic logic is that a thriving open-model ecosystem widens the population of builders who run on Nvidia hardware. The transaction is expected to close in the first half of 2027, pending regulatory approval.

Lam Research raises the dividend 27%. The board approved an increase from \$0.26 to \$0.33 per share, payable October 14 to holders of record September 23. A measured raise from a toolmaker whose equipment touches nearly every advanced chip — and a reminder that the Dividend Strategy's semiconductor exposure pays its owners to hold it while the buildout runs.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY

+22.27%

vs DVY +18.19% / SPY +13.54%

Spread vs DVY +4.08 pts

GROWTH PORTFOLIO

+24.19%

vs IUSG +14.54%

Spread vs IUSG +9.65 pts